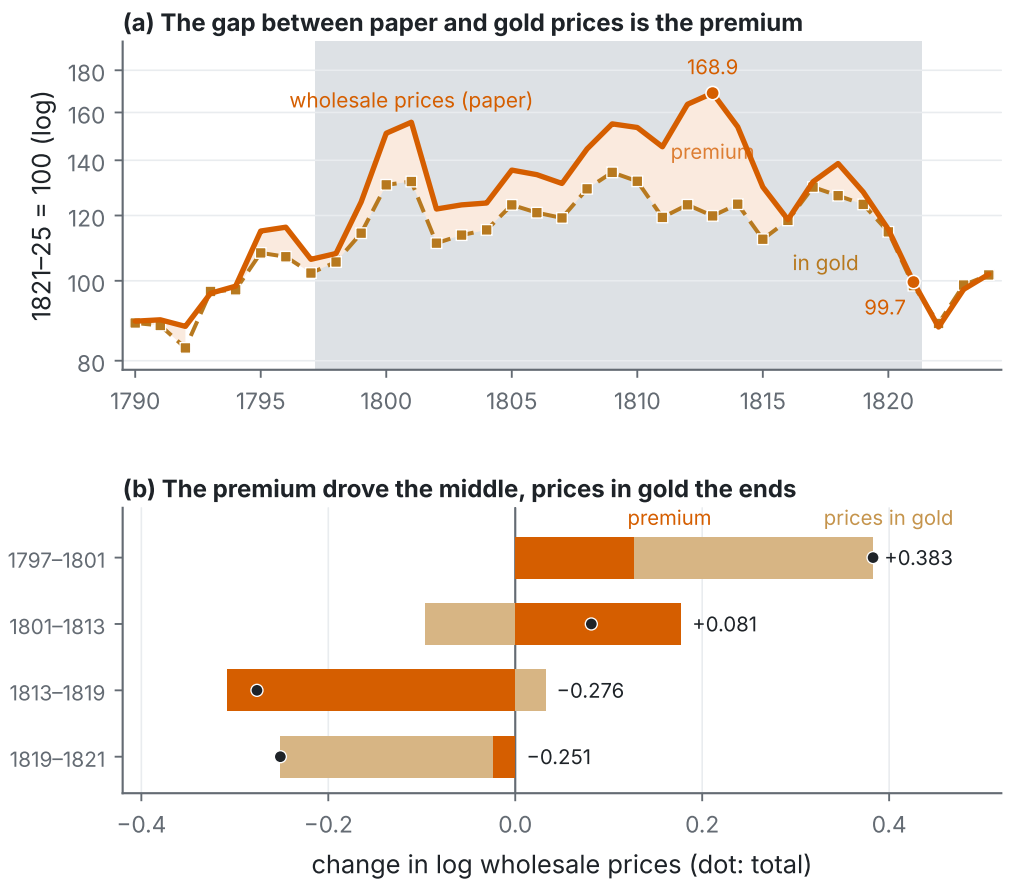
(a) The gap between paper and gold prices is the premium
1821–25 = 100 (log)
180
160
140
120
100
80
1790
1795
1800
1805
1810
1815
1820
wholesale prices (paper)
168.9
premium
in gold
99.7
(b) The premium drove the middle, prices in gold the ends
premium
prices in gold
1797–1801
1801–1813
1813–1819
1819–1821
+0.383
+0.081
−0.276
−0.251
−0.4
−0.2
0.0
0.2
0.4
change in log wholesale prices (dot: total)